

ZIMBABWE SCHOOL EXAMINATIONS COUNCIL (style)
ACADEX PRACTICE EXAMINATION
O-LEVEL · PRINCIPLES OF ACCOUNTS

PRINCIPLES OF ACCOUNTS 7110/2
PAPER 2 November 2023
2 hours

Candidate Name: _____

Centre Number: _____ **Candidate Number:** _____

TIME ALLOCATION & INSTRUCTIONS TO CANDIDATES

Calculators permitted. Ledger accounts must show balanced dates and details.

Answer all compulsory questions. Complete the double-entry transactions and final accounts.

SECTION A

1. From the following balances of Chipso Traders for the year ended 31 December 2024: Sales \$180,000; Opening Inventory \$25,000; Purchases \$110,000; Carriage Inwards \$3,000; Closing Inventory \$28,000; Rent & Rates \$12,000; Salaries \$18,000. (a) Prepare the Statement of Profit or Loss (Trading Section) showing Cost of Sales and Gross Profit. (b) Calculate the Net Profit for the year. [*Income Statement & Gross Profit*] [8]
- (a) Calculate Cost of Goods Sold and Gross Profit. [5]
- (b) Calculate Profit for the Year (Net Profit). [3]